

**Time:** 5 minutes**Outcome:** Diagnose information problems, behavioral biases, and collective-choice limits.**Difficulty:** ●●○ Intermediate

Information, Behavior & Public Choice

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THE CORE IDEA

Standard market models can miss three distinct forces: unequal information between parties, predictable departures from fully rational choice, and political decision rules that aggregate competing preferences. Identify the mechanism before choosing a remedy or prediction.

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HOW TO RECOGNIZE IT

- Adverse selection occurs before agreement; moral hazard occurs after protection changes behavior.
- Signaling is initiated by the informed side; screening is initiated by the uninformed side.
- Behavioral economics studies systematic biases such as present bias, loss aversion, and framing.
- Public choice applies incentives to voters and officials; majority preferences can cycle, and aggregation has limits.

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WATCH OUT

Do not treat every bad decision as asymmetric information. Ask who knows what, when hidden information or action matters, and whether the issue is instead a behavioral bias or a voting rule.

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WORKED EXAMPLE: IDENTIFY THE MECHANISM

DIAGNOSE

- adverse selection
- moral hazard
- signaling and screening
- behavioral biases
- public choice

An insurer cannot observe a buyer's risk before enrollment: adverse selection. After coverage, the buyer takes fewer precautions: moral hazard. A default enrollment rule raises saving without changing prices: a behavioral nudge. A three-option vote cycles depending on the agenda: a collective-choice problem.

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CHECK YOURSELF

A lender requires documentation from applicants. Is that signaling or screening?

**READY?**

Return to the game and master this concept.